Weekly Ship Recycling Report

21 July 2023 - 28 July 2023

bestoasis

Recycling with the Best

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Highlights of the Week

The 11th edition of the European List of ship recycling facilities has been adopted by the European Commission, encompassing a total of 48 yards. The updated list comprises three additional yards situated in Turkiye. The Commission has further prolonged the expiration date for the inclusion of two yards listed in Denmark and one yard listed in Italy. The present edition of the European List comprises a total of 38 yards located within Europe, encompassing the European Union, Norway, and the United Kingdom, 9 yards situated in Türkiye, and 1 yard located in the United States of America.

The Indian government has opted to put on hold its initiative to double the nation's ship recycling capacity by 2024. Instead, it aims to formulate a fresh five-year plan to revitalize the industry. This plan seeks to not only enhance the industry's capacity but also promote diversification, thus mitigating reliance on a singular sector. In recent years, an unforeseen deceleration in the global economy, particularly evident in European nations and the United States, has coincided with a significant reduction in capital investment by major shipping companies. Consequently, the implementation of governmental initiatives has been impeded, resulting in a slower pace of execution.

In the first half of 2023, global crude steel production decreased by 1.1% year-over-year to 943.9 million metric tons, according to data from the World Steel Association. China, the leading producer and consumer of this metal, increased production by 1.3% from January to June. For the fourth year in a row, China's steel production in 2023 is expected to hover around 1 billion tons.

Exchange Rates:

USD / INR ₹

This Week	: 82.30
Previous Week	: 82.03
Lost	: 0.27

USD / BDT ৳

This Week	: 109.27
Previous Week	: 108.53
Lost	: 0.74

USD / PKR Rs

This Week	: 289.90
Previous Week	: 281.19
Lost	: 8.71

USD / TL ₺

This Week	: 26.95
Previous Week	: 26.93
Lost	: 0.02

India

The market is down with no new vessels entering for recycling.

- The market in this particular region has experienced a downward trend.
- Furthermore, the market is experiencing a notable lack of activity, reflected in the continuous downward trajectory of local steel prices. This decline can be attributed to the anticipated impact of the monsoon season and a corresponding decrease in demand for long products.
- It is anticipated that the market will sustain its current levels in the forthcoming months, prior to the onset of winter, during which a resurgence in demand is expected. However, the re-emergence of the markets remains uncertain.
- The International Monetary Fund (IMF) projects that India will experience a 6.1% growth rate in 2023. This forecast represents an increase of 0.2 percentage points over the IMF's previous estimate from April.

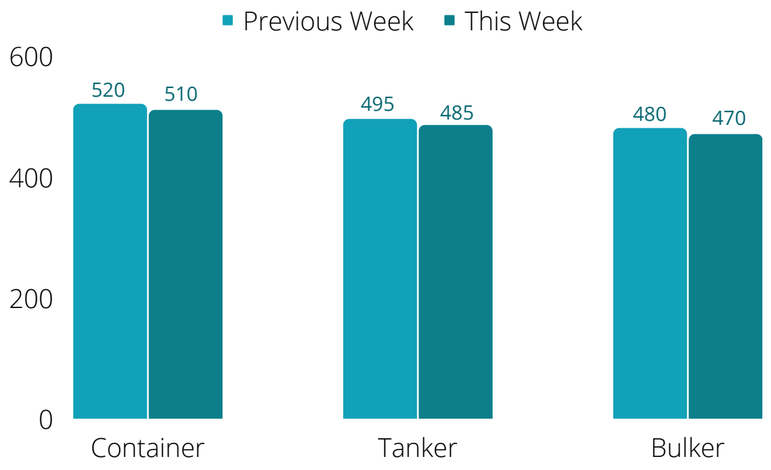
Beaching Dates

30 July to 31 July 2023

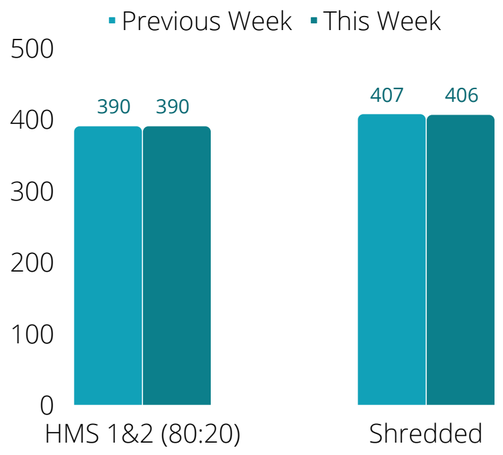
14 August to 20 August 2023

28 August to 31 August 2023

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

The market is characterized by a lack of stability, with the issue of limited LC availability persisting.

- The current market conditions are experiencing a period of softness. In the past two to three days, there has been a significant decrease in local prices, with a reduction of approximately 2,000 Taka (USD 18.46) per metric ton. As a result, buyers are currently hesitant to make offers.

- It was reported this week that a container ship was sold for close to 620 US dollars, which is berserk for this market.

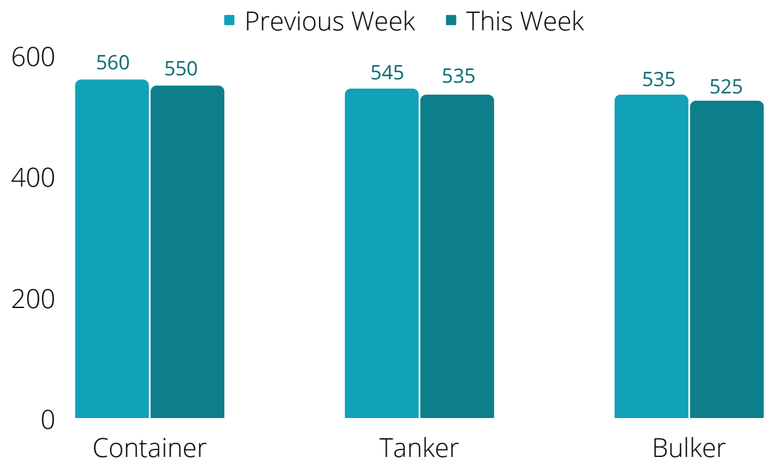
- The LC problem continues to pose a significant challenge for this region, causing widespread concern and despair.

- Bangladesh's outlook was lowered from stable to negative by S&P Global Ratings, citing concerns that its external liquidity position could deteriorate over the next year, while foreign exchange reserves remain under pressure.

Beaching Dates

01 August to 04 August 2023
16 August to 19 August 2023
30 August to 31 August 2023

Price for Recycling Ships in Bangladesh



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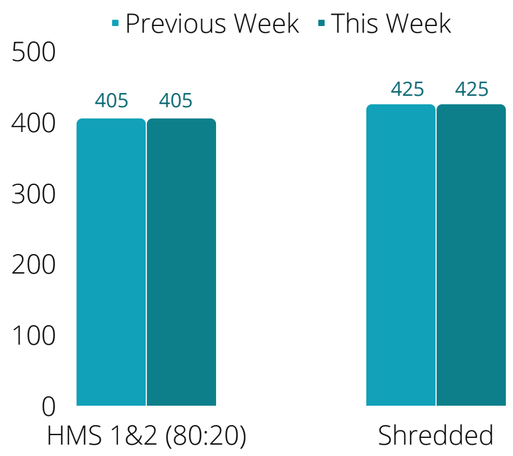


Pakistan

Market's current condition, nothing has changed; currently inactive and closed.

- There has been no apparent alteration in the current circumstances thus far. The purchase of a vessel is not possible due to the absence of LC. Financial institutions express their intention to make an effort.

- Chinese EXIM Bank has rolled over for two years the principal amounts of the following loans totaling US$2.4 billion that are due in the next two fiscal years. Pakistan will receive $1.2 billion from Beijing during the current fiscal year, FY24, while the remaining $1.2 billion is due in FY25.

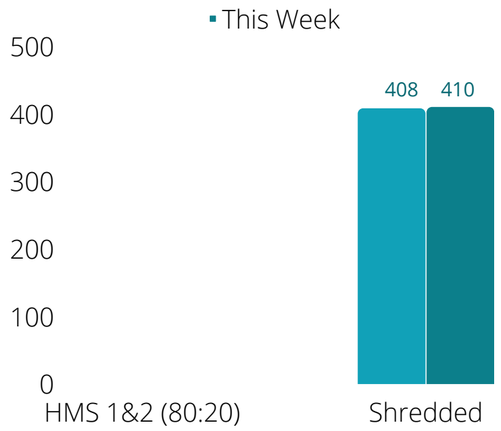
- It is anticipated that the central bank of Pakistan will implement another increase in its key interest rate in order to address the ongoing issue of elevated inflation. This decision is influenced by the IMF, which has exerted pressure on the country.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan

Price of HMS 1&2 (80:20) and Shredded



*HMS 1& 2 no booking as no LC facilities

Türkiye

The market exhibited a state of stability in comparison to the previous week.

- The market has demonstrated stability this week, showcasing a notable improvement compared to the previous week. The current level of activity remains relatively low, as individuals continue to embrace the holiday spirit.

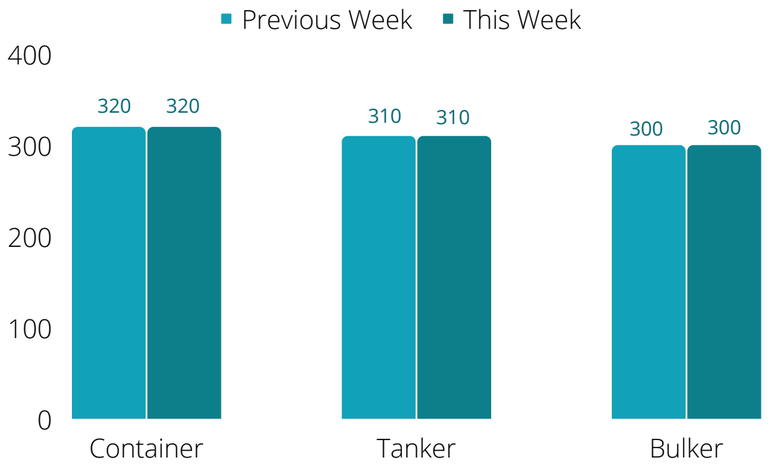
- Turkey's central bank expects inflation to reach 58% by the end of 2023, its new governor stated in her introductory news conference, pledging to "restore anchoring of expectations as well as predictability."

- The Turkish Ministry of Commerce reported that between January and June of 2023, the export of Turkish steel products decreased by 39.2 percent, to a total of $7.2 billion. In the first quarter of 2023, Turkey's exports totaled $80.8 billion, which is 3 percent less than the same period last year, while imports increased by 7.1 percent to $124.3 billion compared to the same period last year.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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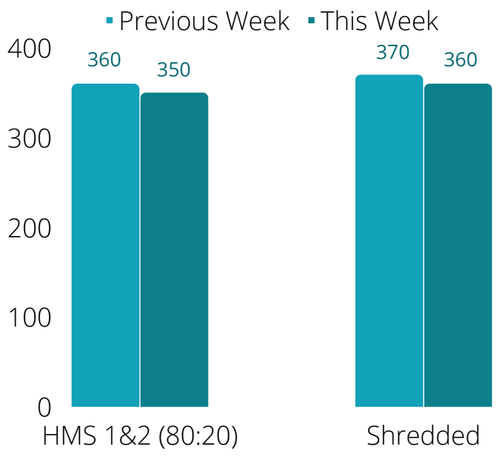
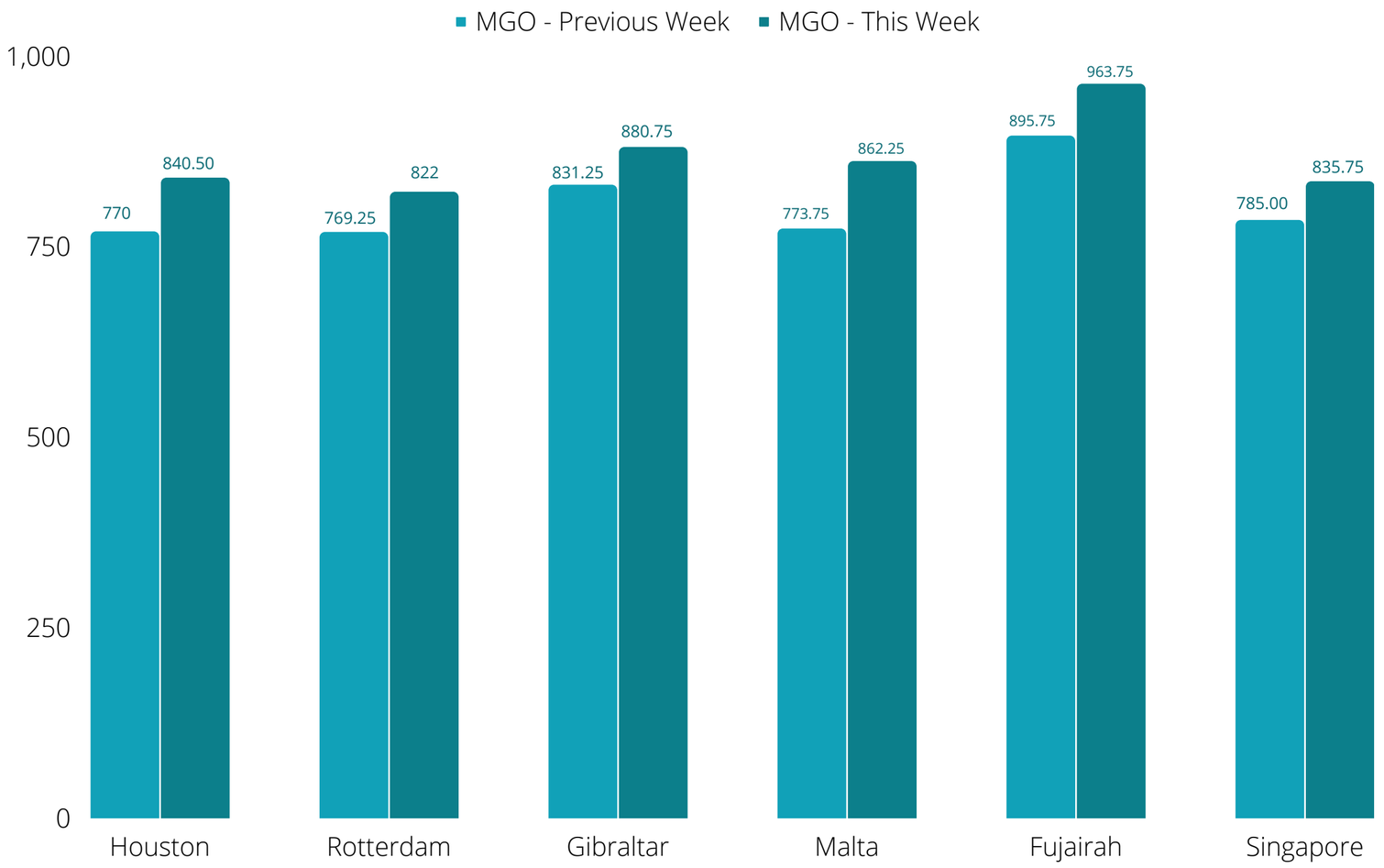


Bunker Prices at Port



Brent Crude

This Week	:	83.61
Previous Week	:	79.43
Movement	:	+ 4.18

WTI Crude

This Week	:	79.99
Previous Week	:	75.30
Movement	:	+ 4.69

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
VICTORY	REFRIGERATED CARGO	8822583	1990	NETHERLANDS	3,056	DELIVERED	CHITTAGONG, BANGLADESH	530
GREEN EXPLORER	REFRIGERATED CARGO	8922242	1991	NETHERLANDS	2,397	DELIVERED	ALANG, INDIA	UNDISCLOSED
TAI MA	RORO	8418320	1985	JAPAN	2834.33	AS-IS	CHITTAGONG, BANGLADESH	UNDISCLOSED
GREAT WENWU	BULKER	9072185	1994	JAPAN	9759	AS-IS	CHITTAGONG, BANGLADESH	465
SINOKOR TIANJAN	CONTAINER	9160891	1998	CHINA	4,672	DELIVERED	CHITTAGONG, BANGLADESH	UNDISCLOSED

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